

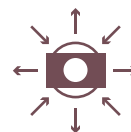
HOW THEY STACK UP



MFs pool investor money, which is managed professionally. PMS manages individual portfolios; holdings are held in individual demat accounts



MFs are regulated under the Sebi (Mutual Funds) Regulations, 1996, and PMS providers under the Sebi (Portfolio Managers) Regulations, 2020



MFs have deferred tax responsibility unless an investor redeems units. In PMS, stocks are held in individual's account and taxed as per tax bracket



Mutual funds offer standardised schemes, while PMS offers differentiated products



MFs accept as low as ₹100 as investment amount. The minimum investment threshold for PMS is ₹50 lakh



Mutual funds charge expense ratios, while PMS charges fixed and performance fees

while MFs managed a respectable 48%. But before you hop on the PMS bandwagon, it is important to grasp the distinction between the two, though comparing them directly may not be entirely fair, as they cater to different financial needs and risk appetites.

PMS VS MF

PMS predominantly provides higher customisation and flexibility compared to MFs; each investor has the freedom to set their investment objectives and risk tolerance and to organise their portfolio in a way that best suits them. MFs, on the other hand, have a one-size-fits-all approach and are managed by a fund manager according to the fund's objectives, predetermined by the fund house, not factoring in individual preferences or risk tolerance. MFs usually provide investors with standardised investment plans that have already been designed with certain investment goals and asset allocation strategies. Investors can choose from various MF schemes based on their investment preferences. PMS, however, offers more differentiated products.

PMS is tailored for high net-worth individuals (HNIs) and ultra-HNIs and requires a minimum investment of ₹50 lakh, while in MFs, which cater to a

wider audience, you can put in as little as ₹100. Another big difference is the number of stocks held under MFs and PMS. "PMS are concentrated portfolios as compared to an equity MF. They usually have 20-25 stocks in the portfolio as compared to 50-75 stocks in the case of an MF," says Rohit Sarin, Co-founder of Client Associates, a multi-family office wealth management firm.

As PMS operates on a smaller scale, managers can be more active. This also influences stock selection. With fewer assets under management, PMS managers can allocate more to mid- and small-cap stocks, potentially increasing returns. On the other hand, MFs are constrained to larger-cap stocks, hindering their potential to outperform the market benchmark.

"We offer PMS schemes to provide exposure to more differentiated strategies compared to MFs and for the possibility of higher returns through more concentrated exposure, which is usually more actively managed in response to changing market conditions or investment opportunities," says Rajul Kothari, Partner at Capital League, an all-women boutique wealth management firm. She adds that MFs are more straitjacketed as they have to adhere to Sebi's guidelines, and hence, are less innovative.